

before

Glossary

- Average Maturity Weighted average maturity of the securities in scheme
- Macaulay Duration (Duration) Macaulay Duration (Duration) measures volatility of fixed income securities. It is often used in the comparison risk between securities with different coupons and different maturities. the weighted average time to cash flows of a bond where the weights are the present value of the cash flows themselves. It is expressed in years. The duration of a fixed income security is always shorter than its term to maturity, except for zero-coupon securities where they are the same.
- Growth and Cumulative options Growth and Cumulative words are used as a
- Risk ratio data There are few stocks which are having abnormal price to earnings ratio because of the aberration (Covid-19) in the financial results (of the base year). The price to book multiple is a better indicator of the business valuation in a kind of abnormal situations. Investors should ideally normalise these values to have a better idea of the portfolio.
- Portfolio Turnover Ratio Portfolio Turnover Ratio is the percentage of assets that have changed in a given period. This ratio measures the fund's trading activity and is computed by taking the lesser of purchases or sales and dividing it by average net assets.

How to read factsheet

Fund Manager An employee of the asset management company such as a mutual fund manager, who manages investments of the scheme. He is usually part of a large team of managers and research analysts.

Application Amount for Fresh Subscription This is the minimum investment amount required from an investor in a mutual fund scheme.

Minimum Additional Amount This is the minimum investment amount for an investor in a mutual fund scheme.

SIP SIP or systematic investment plan works on the principle of making periodic investments of a fixed sum. It works similar to a recurring bank deposit. For instance, an investor can invest Rs. 500 on every 15th of a month in an equity fund for a period of 5 years.

NAV The NAV or the net asset value is the total asset value per unit of the mutual fund, calculated at the end of each business day. It is the value at which an investor enters or exits the mutual fund. **Benchmark** A group of securities, usually a market index, whose performance is used as a standard or benchmark to measure investment performance of mutual fund. **Benchmarks** include the NIFTY, Sensex, BSE200, NSE500, Crisil Liquid Fund Index, etc.

Entry Load A mutual fund may have a sales charge or load at the time of entry. Entry load is charged when an investor purchases units of a mutual fund. The entry load is added to the prevailing NAV at the time of purchase. For instance, if the NAV is Rs. 100 and the entry load is 1%, the investor will enter at Rs. 101.

(Note: SEBI, vide circular dated June 30, 2009 has abolished entry load and that the upfront commission to distributors will be paid by the investor directly to the distributor, based on his assessment of various factors including the service provided by the distributor).

Exit Load Exit load is charged when an investor redeems the units of a mutual fund. Exit load is reduced from the prevailing NAV at the time of redemption. The investor receives the redemption proceeds at net value of NAV less Exit Load. For instance, if the NAV is Rs. 100 and the exit load is 1%, the investor will receive Rs. 99.